Research note: How home loan approval works in an Indian bank

Deliverable D5 · Product in scope: Home loan (purchase of ready residential property) · POV demo: Sanctum · Synthetic data only · ~2 pages

1. Why this process matters

Home loans are long-tenor, collateral-backed products. Turnaround time (TAT), consistency across branches, and regulatory compliance (KYC, LTV, fair practices) all affect customer experience and credit risk. Much of the work is still document-heavy and manual: reading PDFs, reconciling income, calling bureaus, and checking property charges before a credit officer sanctions.

2. End-to-end stages (application → disbursement)

Stage	Who owns it	What happens
1. Origination / application	Customer, Relationship Manager (RM), digital channel	Product selected; personal, income and property details captured; indicative eligibility / EMI discussed.
2. Document collection & KYC	RM / operations	PAN, Aadhaar, photos, address proof; salary slips / Form 16 / ITRs; bank statements; property documents (sale deed, title chain, tax receipts, approved plan).
3. Credit appraisal	Credit analyst / underwriter	Income assessment, FOIR / repayment capacity, bureau score & tradelines, existing obligations, employment / business stability.
4. Property due diligence	Legal + technical valuation panels	Title search / legal opinion; valuation report; CERSAI search for prior charges; project / builder checks where relevant.
5. Sanction	Credit officer / sanctioning authority (delegated limits)	Approve, approve with conditions, or decline. Sanction letter with rate, tenure, conditions, validity.
6. Agreement, mortgage, CERSAI	Legal / ops	Loan agreement; creation of mortgage / charge; registration of charge with CERSAI as applicable.

7. Disbursement	Ops / treasury	Often in tranches (under-construction) or lump sum (ready property); linked to compliance with sanction conditions.

3. Roles typically involved

- **Applicant / co-applicant** — provides data and documents; may be salaried or self-employed.
- **RM / sales** — originates the case, explains product, pushes for completeness.
- **Credit / underwriting** — risk decision and recommendation up the sanction ladder.
- **Legal counsel / empaneled lawyers** — title and documentation.
- **Valuer** — market / forced-sale value of collateral.
- **Ops / disbursement team** — post-sanction checklist and release of funds.

4. Key checks and policy anchors

- **KYC / AML** — per RBI Know Your Customer directions; identity and address verification before account / loan relationships deepen.
- **LTV (loan-to-value)** — RBI has prescribed LTV caps for housing loans by ticket size bands (commonly cited: up to 90% for smaller tickets, stepping down for larger loans). Banks embed these in credit policy.
- **FOIR / income norms** — bank-specific ceilings on fixed obligations vs income; treatment differs for salaried vs self-employed.
- **Bureau** — CIBIL / other CIC score, delinquencies, enquiries, unsecured exposure.
- **CERSAI** — search for existing security interest on the property before creating a fresh charge.
- **Fair Practices Code** — transparent terms, timely communication of decision and reasons for decline where required.

5. Documents (typical home loan file)

Identity & KYC: PAN, Aadhaar / OVD, photographs, address proof.
Income (salaried): 3–6 months salary slips, Form 16, bank statements showing salary credits.
Income (self-employed): 2–3 years ITR with computation, GST returns, business bank

statements, CA-certified financials where asked.
Property: title documents, chain of ownership, tax paid receipts, approved plan / occupancy where applicable, society NOC if needed.

6. Typical turnaround and pain points

Industry conversations and secondary sources commonly put clean salaried home-loan files in a range of roughly **a few days to 2–3 weeks** from complete documentation to sanction, and longer when legal/title issues or incomplete papers appear. Self-employed and complex collateral stretch further.

Pain points observed / reported:

- Incomplete or inconsistent documents (income declared ≠ bank credits).
- Manual re-keying between LOS, CBS, and email attachments.
- Policy interpretation varies by branch / officer → inconsistent outcomes.
- Waiting on external parties (lawyer, valuer, bureau) without a single status view.
- Re-work when RBI circulars or internal policy change mid-pipeline.

> **Implication for agentic AI:** highest value is in document completeness checks, multi-source assembly (CBS + bureau + CERSAI + policy), explained recommendations, and escalation to humans — not in removing the credit officer from sanction.

7. Sources

- Reserve Bank of India — Master Direction / circulars on Know Your Customer (KYC); housing loan related LTV / regulatory instructions (public RBI website).
- RBI — Guidelines on Fair Practices Code for lenders (public).
- CERSAI — Central Registry of Securitisation Asset Reconstruction and Security Interest of India (purpose of charge registration / search).
- Public product pages and process explainers from major Indian retail lenders (HDFC Ltd / banks' home loan documentation checklists) — used only for typical document lists, not proprietary policy.
- Assignment brief: *BA_Assignment Agentic AI Loan Approval Demo* (Niveus / selection process) — problem framing for lakehouse + agents + human-in-the-loop.

- Informal domain conversations with banking / lending practitioners (names optional per assignment guidance) — validated stage order, FOIR/LTV usage, and that sanction remains a human authority decision.

This note supports the Sanctum POV demo. It is not legal or credit advice. Figures and policy references in the interactive demo are illustrative.